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1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant and persistent loss. Over the last four months, the company has accumulated a net loss of over ₹2.6 billion, with sales failing to cover the cost of goods sold. While there is a strong cash balance and manageable debt levels, the core operations are severely unprofitable, eroding the company's equity base and putting long-term sustainability at risk.

GREEN FLAG BOX — What's Working Well

- **Strong Cash Position:** The company maintains a healthy cash balance of over ₹217 million, providing a crucial buffer for operations despite heavy losses.
- **Reducing Debt:** Secured long-term borrowings have been consistently reduced from ₹383 million to ₹266 million, improving the debt profile.
- **Controlled Overheads:** Operating expenses (SG&A and employee costs) are relatively low as a percentage of sales, averaging around 2%, indicating cost discipline in non-core areas.

RED FLAG BOX — What Needs Attention

- **Severe Core Losses:** The business model is fundamentally broken, with gross margins deeply negative (ranging from -32% to -88%). Sales revenue is less than half of COGS.
- **Eroding Equity:** Total shareholder equity is negative ₹408 million. Continuous losses are destroying the company's capital base.
- **Negative Operating Cash Flow:** Cash flow from operations was negative ₹113 million in April, indicating core business activities are burning cash, not generating it.

CFO Advice:

Immediate survival depends on fixing the gross margin. You must either drastically increase sales prices or renegotiate supplier costs—selling below cost is unsustainable. Use your strong cash balance as a runway to execute this turnaround, but the clock is ticking.